

court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

III. SETTLEMENT PROCESS

On June 19, 2020, Plaintiff Saldivar initiated this action with the filing of the Complaint. On April 2, 2021, the parties engaged in mediation before Hon. Gail Andler (Ret.) but they were unable to reach an agreement. The parties engaged in extensive written discovery, including multiple sets of requests for production, special interrogatories, form interrogatories, and requests for admission. Defendant produced four months of sample class transaction data which contained sufficient information to identify the class members and their damages—which was then analyzed by Plaintiffs’ expert.

On January 26, 2023, Plaintiff Angelica Carrillo filed her action (*Carrillo v. Stanford Federal Credit Union* [23CV410517] (*Carrillo*)) in this Court which asserted an issue already alleged and subsumed by the instant action.¹ On July 25, 2023, Plaintiff Saldivar filed the operative FAC, which added Plaintiff Montes to the instant action. On August 21, 2023, Defendant filed a motion to compel arbitration as to Plaintiff Montes’ claims. On October 24, 2023, the Court (Hon. Kulkarni) issued its order, which denied Defendant’s motion to compel arbitration. On September 9, 2024, Defendant filed a motion for summary judgment. On May 8, 2025, Plaintiffs filed their motion to compel attendance at deposition.

The parties continued to negotiate a settlement and agreed upon the Settlement currently before the Court.

IV. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$450,000. Attorneys’ fees of up to one-third (\$150,000), litigation costs of up to \$40,000 and settlement administration costs. Plaintiffs Saldivar and Montes will seek class representative service awards for up to \$10,000 and Plaintiff Carrillo will seek an award for up to \$7,500.

The net settlement amount will be allocated to “Class Members,” who are defined as “any Stanford Federal Credit Union Member who has or had an account with Stanford Federal Credit Union who from June 19, 2016 through September 22, 2025 was charged two or more NSF Fee follows by an OD Fee on the same ACH transaction or check.” Funds associated with checks uncashed after 180 days will be transmitted to Public Citizen Foundation.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all losses, fees, charges, complaints, claims, debts, liabilities, demands, obligations, costs, expenses, actions, and causes of action of every nature, character, and description, whether known or unknown, asserted or unasserted, suspected or unsuspected, fixed or contingent, which the Saldivar Plaintiffs and Angelica Carrillo and Class Members who do not opt out now have, own or hold against any of the Defendant Releasees arising out of Defendant's assessment of

¹ The *Carrillo* parties are also signatories to the Settlement.

NSF Fees on the second or subsequent time a third party presents an item in an attempt to collect on a check (including an electronic check) or ACH item after the first or prior attempt at collection was rejected and the member's account was assessed an NSF Fee, or Defendant's assessment of an Overdraft Fee on an item that previously resulted in an NSF Fee, during the Class Period.

The foregoing release is appropriately tailored to the allegations at issue.
(See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

V. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Plaintiff's expert estimated Defendant's maximum exposure as \$510,040. The gross settlement amount is approximately 88.2% of the maximum exposure, which is well above the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the risk of continued litigation, difficulties related to class certification, and the multiple, dependent contingencies that Plaintiffs would have had to overcome to prevail on the claims, the settlement achieves a good result for the Class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the Class.

VI. PROPOSED SETTLEMENT CLASS

Plaintiffs request provisional certification of the following class for settlement purposes:

[A]ll Stanford Federal Credit Union Members who have or have had accounts with Stanford Federal Credit Union who, from June 19, 2016 through September 22, 2025, were charged two or more NSF Fees or an NSF Fee followed by an Overdraft Fee on the same ACH transaction or check.

E. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court"

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the

burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

F. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975–976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, Plaintiffs’ counsel estimates there are thousands of Stanford account holders who are readily identifiable based on Defendant’s records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

G. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*)). The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*)). “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claims arise from Defendant’s conduct regarding uniform NSF fee practices and uniform contractual terms.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed Class, Plaintiffs were members of the credit union during the Class Period, they entered into identical form agreements and were assessed the NSF fees by the same automated software system.

Finally, adequacy of representation “depends on whether the plaintiff’s attorney is qualified to conduct the proposed litigation and the plaintiff’s interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) “Differences in individual class members’ proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party’s claim of representative status.” (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiffs have the same interest in maintaining this action as any Class member would have. Further, they have hired experienced counsel. Plaintiffs have sufficiently demonstrated adequacy of representation.

H. Substantial Benefits of Class Certification

“[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . .” (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are approximately thousands of Class Members . It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

VII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice will be emailed to Class Members who have agreed to receive electronic notifications from Defendant and a postcard will be sent to any Class Members who have not agreed to receive monthly statements by email or for whom Defendant does not have an email address listed. Additionally, a long form of the notice will be hosted and contained on a settlement website with a Spanish translation.

The email and long form notice inform the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 30 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Simpluris. No later than 10 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to Simpluris. Simpluris, in turn, will send the notice and take the website live within 15 days of receiving the Class data. Simpluris shall take efforts to locate a forwarding address for any notices returned as undeliverable. It will provide a summary report of the notice 5 business days before the deadline to file the final approval motion. These notice procedures are appropriate and are approved.

VIII. SERVICE AWARD, FEES, AND COSTS

Plaintiffs Saldivar and Montes request service awards of \$10,000 and Plaintiff Carrillo requests \$7,500.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Plaintiffs Saldivar and Montes submitted declarations in support of the request, however, neither details the amount of time spent on this action. Plaintiff Carrillo did not submit a declaration. Prior to final approval Plaintiffs shall submit declarations stating the amount of time spent on this action and addressing any other factors they would like the Court to consider.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs’ counsel will seek attorneys’ fees of up to one-third of the gross settlement amount (currently estimated to be \$150,000), and litigation costs for up to \$40,000. Prior to any final approval hearing,

Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

IX. CONCLUSION

Plaintiffs' motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **December 10, 2026** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

[A]ll Stanford Federal Credit Union Members who have or have had accounts with Stanford Federal Credit Union who, from June 19, 2016 through September 22, 2025, were charged two or more NSF Fees or an NSF Fee followed by an Overdraft Fee on the same ACH transaction or check.

The Court will prepare the order.

- 00000 -

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Calendar Line 3

Case Name: *Treespring Investments, LP v. James Rautner, et al.*

Case No.: 22CV407249

Plaintiff Treespring Investments, LP (“Plaintiff” or “Treespring”) filed the instant action for concealment and breach of fiduciary duty, among other causes of action, arising out of a business dispute between itself and defendants James Rautner (“Rautner”) and Dennis V. Pollutro (“Pollutro”) (collectively, “Defendants”).

Before the Court is Plaintiff’s motion to compel further responses to its special interrogatories and requests for production of documents. The motion is opposed.

As discussed below, the Court DENIES the motion to compel as to the RFPs but GRANTS it as to the SIs.

X. BACKGROUND

In the operative first amended complaint (“FAC”), Plaintiff alleges Defendants were founders, officers, directors, and shareholders of Eclipz.io, Inc. (“Eclipz”). (FAC, ¶¶ 5-6, 11.) Rautner was the Chief Operating Officer (“COO”) and its Chief Financial Officer (“CFO”), while Pollutro was its Chief Technology Officer (“CTO”). (FAC, ¶¶ 5-6.) Defendants were also founders and owners of SDSE Networks, LLC (“SDSE”), which is the same business as Eclipz. (FAC, ¶¶ 11-12.) Plaintiff alleges Defendants used Eclipz assets to improperly advantage Defendants’ other company and Eclipz predecessor, SDSE. (FAC, ¶¶ 3, 17, 20, 22.) Among other things, Defendants concealed material information and solicited Plaintiff to become an investor in Eclipz. (FAC, ¶¶ 17-20.)

Based on the foregoing, Plaintiff initiated this action on November 23, 2022, with the filing of the complaint, and on June 24, 2024, it filed the operative FAC, which asserts the following causes of action: (1) concealment; (2) violation of Corporations Code sections 25400, subd. (d), 25401, 25504, & 25504.1; (3) breach of fiduciary duty; (4) constructive fraud; (5) intentional interference with contractual relations; and (6) intentional interference with prospective economic advantage.

XI. PLAINTIFF’S MOTION TO COMPEL FURTHER RESPONSES

Plaintiff moves to compel further responses to the entirety of their requests for production (“RFPs”), sets four and five; supplemental requests for production, set one; special interrogatories, set three; and supplemental special interrogatories, set one.

A. Legal Standards

i. Requests for Production

A party propounding a request for production may move for an order compelling a further response if it deems that a statement of compliance is incomplete, a representation of inability to comply is inadequate, or an objection is without merit. (Code Civ. Proc., § 2031.310, subd. (a).) The motion must set forth “specific facts showing good cause

justifying the discovery sought by the demand.” (Code Civ. Proc., § 2031.310, subd. (b)(1); *Kirkland v. Superior Court* (2002) 95 Cal.App.4th 92, 98 (*Kirkland*).) Good cause is established simply by a fact-specific showing of relevance. (*Kirkland, supra*, 95 Cal.App.4th at p. 98.) If good cause is shown, the burden shifts to the responding party to justify any objections. (*Ibid.*) Objections must be tailored to each discovery request. (*Scottsdale Inc. Co. v. Super. Ct.* (1997) 59 Cal.App.4th 263, 275; *Standon Co. v. Super. Ct.* (1990) 225 Cal.App.3d 898, 901 [construing the objection of “vague, ambiguous, and unintelligible” as a nuisance objection].)

ii. Interrogatories

A responding party must provide non-evasive answers to interrogatories that are “as complete and straightforward...to the extent possible,” and, if after a reasonable and good faith effort to obtain the information they still cannot respond fully to an interrogatory, the responding party must so state in its response. (Code Civ. Proc., § 2030.220.) If the responding party provides incomplete or evasive answers, or objections without merit, the propounding party’s remedy is to seek a court order compelling a further response to the interrogatories. (Code Civ. Proc., § 2030.300, subd. (a).)

B. DISCUSSION

Plaintiff moves to compel further responses to the entirety of their requests for production (“RFPs”), sets four and five; supplemental requests for production, set one; special interrogatories (“SIs”), set three; and supplemental special interrogatories, set one.

i. Defendants’ Request for Judicial Notice

Defendants request judicial notice of (1) the docket in *In re SDSE Networks, Inc.*, United States Bankruptcy Court, District of Delaware, Case No. 24-10738-CTG; (2) the Order Approving the Chapter 7 Trustee’s Sale of Substantially All of the Debtor’s Assets, entered April 11, 2025, together with the Asset Purchase Agreement, in *In re SDSE Networks, Inc.*, No. 24-10738-CTG; (3) the Chapter 7 Trustee’s Final Account and Distribution Report, filed December 5, 2025, in *In re SDSE Networks, Inc.*, No. 24-10738-CTG, listing Treespring Investments, LP as the holder of Claim No. 22; (4) the Voluntary Petition for Bankruptcy, filed October 30, 2023, in *In re Eclipz.io, Inc.*, United States Bankruptcy Court, Northern District of California, Case No. 23-51253-SLJ, including its schedules of creditors; (5) the Order Approving Stipulation Between the Chapter 7 Trustee, Treespring Investments, LP, James Rautner, Dennis Pollutro, and Hogan Lovells US LLP, entered April 3, 2025 (Docket No. 31), in *In re SDSE Networks, Inc.*, No. 24-10738-CTG, approving the Stipulation Governing the Production of Confidential Information and authorizing the parties to access Hogan Lovells’s archived litigation database.

The documents listed above are court records and a proper subject of judicial notice under Evidence Code section 452, subdivision (d). Accordingly, the request for judicial notice is GRANTED.

ii. Timeliness of the Motion

Defendants argue that the motion is untimely because it was filed after the fact discovery cutoff. Code of Civil Procedure section 2024.020, subdivision (a) provide provides, “Except as otherwise provided in this chapter, any party shall be entitled as a matter of right to complete discovery proceedings on or before the 30th day, and to have motions concerning discovery heard on or before the 15th day, before the date initially set for the trial of the action.”

Here, the parties entered into a stipulation to continue the trial date, which had been set for January 20, 2026. The stipulation stated, in part, “WHEREAS, the Parties stipulate that the fact discovery cut-off shall remain based upon the current trial date of January 20, 2026, but that expert discovery deadlines not already passed will be based upon the new trial date. No new fact discovery shall be allowed as a matter of right, but the Parties agree they reserve all rights regarding outstanding discovery issues.” (Declaration of James O’Donnell in Support of Motion (“O’Donnell Decl.”), Ex. O, ¶ 6.)

Plaintiff contends that the discovery requests at issue were served on Defendants November 17, 2025 and November 21, 2025. (O’Donnell Decl., ¶¶ 7-16.) Thus, it asserts that this discovery was pending on December 18, 2025 when the parties entered into the stipulation and the reservation of rights regarding outstanding discovery issues contained in paragraph 6 of the stipulation allows them to pursue the instant motion.

Defendants, on the other, argue that the motion was not pending at the time the stipulation was entered and it had to be heard on or before the 15th day before the original trial date of January 20, 2026. Instead, the motion was not filed until April 2, 2026.

It is arguable that the reservation of rights language would allow the motion to be heard after the discovery cutoff date. In any event, to hold that Plaintiff may not make the motion at this time, would simply require Plaintiff to make a motion to reopen discovery under Code of Civil Procedure section 2024.050. Because the motion is fully briefed, it would be inefficient and a waste of resources for the court to require a motion to reopen. Accordingly, the court will reach the merits of the motion.

iii. Merits of the Motion

1. Requests for Production

Due to the number of RFPs at issue, the court will not reproduce the text of the requests here. Suffice it to say that the RFPs fall into three main categories: (1) a request that Respondents supplement their prior productions (supplemental requests for production, set one), (2) requests for documents related to government work allegedly performed by SDSE and/or Eclipz and related confidentiality or security concerns (RFPs, set four), and (3) requests for documents related to how items were stored (RFPs, set five). Defendants responded to all RFPs with only objections.²

As to all RFPs, Defendants argue that Plaintiff has failed to show good cause for the further responses it seeks. (*Kirkland, supra*, 95 Cal.App.4th at p. 98.) As Defendants point out,

² Plaintiff separately propounded its discovery requests on Defendants Rautner and Pollutro and the numbering of the requests differs but the substance of the requests is the same.

Plaintiff has not filed a separate statement as required by Rules of Court, rule 3.1345(a)(1) and (a)(3). The court has discretion to deny a motion to compel where the separate statement is missing or deficient. (*Mills v. U.S. Bank* (2008) 166 Cal.App.4th 871, 893.) Plaintiff argues that a separate statement is unnecessary because they have supported their requests with evidence, namely the deposition testimony of Defendants. But, the motion itself fails to make a fact-specific showing of relevance as to each request.³ Accordingly, the court will find that Plaintiff has not shown good cause for the further responses it seeks. Thus, the burden does not shift to the Defendants to justify their objections. (*Kirkland, supra*, 95 Cal.App.4th at p. 98.)

Here, the FAC provides, “Acting under the direction of DEFENDANTS, SDSE now claims it has no obligation to turn over ECLIPZ’s source code and that the intellectual property at issue belongs to SDSE. SDSE has also claimed that it cannot turn over the requested intellectual property because it purportedly contains government secrets. None of this was ever disclosed to TREESPRING. Instead, DEFENDANTS took TREESPRING’S investment under the guise that it would be used to build and protect ECLIPZ intellectual property, but instead used it for the benefit of themselves and their company, SDSE. This caused direct harm to TREESPRING, by depriving it from the benefit of its multi-million dollar investment.” (FAC, ¶ 25.)

In response to Defendants’ argument, Plaintiff points to portions of the memorandum of points and authorities in support of the motion as examples of their good cause showing. In the memorandum, Plaintiff stated, regarding RFPs, set four, “The requests are directly relevant because Defendants induced Plaintiff’s investment by repeatedly representing that the technology behind Eclipz was developed for and funded by the U.S. government. [Citations to deposition testimony.] Defendants further represented that they would deliver the Eclipz 1.0 source code to the company only after decoupling it from the government version, which they claimed contained classified components. [Citations to deposition testimony.] These statements make the requested documents central to assessing the truth of Defendants’ representations and Plaintiff’s resulting reliance.” (Memorandum in Support of Motion (“Memorandum”), p. 7:12-20.)

It also points to language in the memorandum indicating that “document[s] related to GitHub are directly relevant to this matter. Defendants stored the Eclipz source code on a GitHub repository inaccessible to Eclipz employees, while SDSE engineers had access and billed Eclipz millions for work on the technology. [Citations to deposition testimony.] Further, Defendants’ testimony suggests that none of the investors in Eclipz were ever informed or otherwise aware that the source code for the Eclipz technology was stored on a GitHub that could not be accessed by any Eclipz employee. [Citations to deposition testimony.] [¶] Document and communication requests with respect to SDSE are similarly relevant because engineers from SDSE actually had access to the source code on the GitHub on which the source code for the Eclipz technology was stored. [Citations to deposition testimony.] Moreover, Defendants were the founders and owners of SDSE, and SDSE billed Eclipz millions of dollars for work supposedly

³ Should the court decide that a separate statement is necessary, Plaintiff asks that the court continue the hearing on the motion so that it may provide one. The court denies this request because to allow Plaintiff to file a separate statement at this time would be to give it a second bite of the apple.

done on the technology. Accordingly, communications and other documents held in relation to SDSE are likely to contain information regarding Defendants' intentions with respect to the withholding of information from Eclipz officers and investors." (Memorandum, p. 8:11-24.)

In general, "any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. Discovery may relate to the claim or defense of the party seeking discovery or of any other party to the action. Discovery may be obtained of the identity and location of persons having knowledge of any discoverable matter, as well as of the existence, description, nature, custody, condition, and location of any document, electronically stored information, tangible thing, or land or other property." (Code Civ. Proc., § 2017.010.)

It is clear that some discovery into SDSE's dealings with the U.S. government would be relevant. But, that would not entitle Plaintiff to all of the discovery sought and the court is not required to fill in the good cause analysis Plaintiff fails to provide. (See *Quantum Cooking Concepts, Inc. v. LV Assocs., Inc.* (2011) 197 Cal.App.4th 927, 934 [stating that the trial court is not required to "comb the record and the law for factual and legal support that a party has failed to identify or provide"].) For example, Plaintiff seeks, in RFPs, set four, "ALL DOCUMENTS related to SDSE's policies regarding SDSE employees' use of personal devices when working on classified material with or for the United States Government" and "ALL DOCUMENTS related to SDSE's policies regarding SDSE employees' use of personal devices when working on any source code projects." It is not clear how these policies are relevant or could lead to discoverable information, let alone how all documents related to same could be relevant.

Additionally, the requests related to the storage of the source code are incredibly broad. For example, two of the requests contained in RFPs, set five, seek, "All DOCUMENTS and COMMUNICATIONS RELATED TO Confluence" and "All DOCUMENTS and COMMUNICATIONS RELATED TO GitHub." These requests are not limited as to time or subject matter and Plaintiff has not shown good cause for same.

Even as to the supplemental request, Plaintiff states merely that such a request is authorized under Code of Civil Procedure section 2031.050.

The motion to compel is DENIED as it relates to the RFPs for failure to provide a separate statement and failing to show good cause for the further responses sought.

2. Special Interrogatories

As to the special interrogatories, no good cause showing is required.

SI no. 25 (Rautner) or 45 (Pollutro) states, "Identify with specificity each technology, intellectual property ("IP"), resource, software, code (including without limitation any object or source code), development or support tool, application programming interface ("API"), test harness, instance, interface, or other information YOU actually conveyed, delivered, or provided to ECLIPZ, including the date on which each was conveyed, delivered, or provided." Defendants responded only with objections.

Defendants contend that no further response is required because the entirety of SDSE's assets have been sold by the bankruptcy trustee in its bankruptcy case. However, the Court agrees with Plaintiff that if Defendants do not have the ability to respond to the SI, it should so state in a verified response rather than object on this ground. (Code Civ. Proc., § 2030.220, subd. (b) ["If an interrogatory cannot be answered completely, it shall be answered to the extent possible."]; id., subd. (c) ["If the responding party does not have personal knowledge sufficient to respond fully to an interrogatory, that party shall so state, but shall make a reasonable and good faith effort to obtain the information by inquiry to other natural persons or organizations, except where the information is equally available to the propounding party."].) Accordingly, the motion is GRANTED as to SI no. 25 (Rautner) or 45 (Pollutro).⁴

SI no. 26 (Rautner) or 46 (Pollutro) requests that Defendants "[s]tate all facts that support YOUR contention that Eclipz was capable of operating or succeeding as a standalone entity." Defendants responded with only objections. In their separate statement, Defendants cite their response to the request, inexplicably followed by the full text of a proof of service, then reiterate their objections without expanding on them, and finally, despite agreeing that they have the burden to justify their objections, indicate that Plaintiff has not made a fact-specific showing of relevance. As Defendants admit repeatedly throughout their briefing, they have the burden to justify their objections. (See *Coy v. Super. Ct.* (1962) 58 Cal.2d 210, 220-221 (*Coy*) [If a timely motion to compel is filed, the burden is on the responding party to justify any objection].) They have not done so by simply reiterating their objections. Notably, they also assert that the document demand seeks documents without regard to time but this is a special interrogatory, not a document demand. Accordingly, the motion is GRANTED as to SI no. 26 (Rautner) or 46 (Pollutro).

Supplemental SI no. 1 states, "Please review your responses to Treespring's special interrogatories, sets one and two, previously served on you in this action. If any of your responses are no longer true, accurate, or complete, or if any answer has changed in any way, please identify the special interrogatory, your previous response(s), and provide any information necessary to render the response complete and correct as of the date of Defendant's response to this supplemental request." Defendants responded only with objections.

Code of Civil Procedure section 2030.070, subdivision (a) provides, "In addition to the number of interrogatories permitted by Sections 2030.030 and 2030.040, a party may propound

⁴ Defendants also argue in their separate statement that "the request is overbroad and unduly burdensome, demanding all documents without limitation as to time, and the propounding party has made no specific showing of relevance (*Calcor Space Facility, Inc. v. Superior Court* (1997) 53 Cal.App.4th 216); the materials are equally or more readily available to Treespring, which possesses the entirety of Eclipz.io's electronically stored information and a production of SDSE's electronically stored information, and which this Court found has unfettered access to the Eclipz database (Code Civ. Proc., section 2019.030, subd. (a); Order, Dec. 17, 2025); the entire Hogan Lovells archived litigation database resides with Treespring's vendor, while Defendants received only the documents responsive to the parties' agreed search terms, so Treespring demands that Defendants reproduce from a far smaller subset the very prior-litigation records Treespring already holds in full." But, it appears to the Court that this argument is addressed to requests for production rather than interrogatories.

a supplemental interrogatory to elicit any later acquired information bearing on all answers previously made by any party in response to interrogatories.” Defendants assert that supplemental SI 1 goes beyond what is required by Code of Civil Procedure section 2030.070 because it requests a wholesale reevaluation of their previous responses rather than simply seeking later-acquired information. The court does not read supplemental SI 1 to go beyond what is required by section 2030.070 simply because it asks that Defendants review their previous responses. Instead, reviewing the previous responses is likely necessary to determine if any later-acquired information requires a change in the response. The motion is GRANTED as to supplemental SI 1.

XII. CONCLUSION

Plaintiff’s motion to compel further responses is DENIED as to the RFPs without prejudice to seeking similar but more tailored discovery and making a motion to reopen discovery. The motion is GRANTED as to the SIs. Defendants must provide further verified responses to the SIs within 20 days of the date of the court’s final order on this matter.

The Court will prepare the final order.

- oo0oo -

Calendar Line 4

Case Name:

Case No.:

Calendar Line 5

Case Name: *Grey v. Pacific Coast Logistix, et al.*

Case No.: 23CV425509

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Carol Grey alleges defendant Pacific Coast Logistix committed various wage and hour violations.

Before the Court is Plaintiff’s motion for preliminary approval of class action and PAGA settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

IX. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff was a vendor employed by Defendant. (FAC, ¶ 10.) She was employed as an independent contractor and worked in Santa Clara County. (*Ibid.*) Plaintiff alleges Defendant misclassified vendors as independent contractors rather than employees, denying them the benefits of employment and shifting the costs of doing business onto the employees who carry out the delivery duties for Defendant. (FAC, ¶¶ 26, 50.) Defendant also failed to: reimburse for business expenses; properly pay Plaintiff and class members; pay wages due upon termination; (FAC, ¶¶ 55-62.)

Plaintiff initiated this action on November 8, 2023, with the filing of the complaint and on March 26, 2024, she filed the operative FAC, which asserts the following causes of action: (1) failure to pay all wages owed upon termination; (2) failure to timely pay earned wages; (3) failure to provide itemized wage statements; (4) failure to provide rest and meal periods; (5) failure to pay minimum wages; (6) failure to reimburse business expenses; (7) unfair business practices; and (8) PAGA penalties.

Plaintiff moves for an order: granting class certification for settlement purposes; preliminarily approve the Stipulated Settlement Agreement (the “Settlement”); appointing Adrian R. Bacon, Todd M. Friedman, Meghan E. George, and Matthew R. Snyder of the Law Offices of Todd M. Friedman, and Adib Assassi and Veronica Cruz of the Law Offices of Assassi & Cruz Law Firm, PC as Class Counsel; (4) appointing Plaintiff as the Class Representative; (5) approving the use of the proposed notice procedure and related forms; (6) directing that the Class Notice be mailed to the Class; (7) scheduling a hearing date for a final approval hearing; and (8) approving the PAGA settlement.

X. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

C. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba*, *supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba*, *supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court's review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public ...”], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XI. SETTLEMENT PROCESS

On November 8, 2023, Plaintiff filed the complaint in the instant action and sent a PAGA notice with the Labor and Workforce Development Agency (“LWDA”). On March 26, 2024, she filed the operative FAC. The parties agreed to an early private mediation with Christopher Barnes (“Barnes”), Esq. of Barnes Dispute Resolution.

Prior to mediation, Defendant provided information regarding wages paid, number of workweeks, and number of Class members, a sample of the Class members and Aggrieved Employees’ timekeeping and pay records, and miles driven.

On August 27, 2024, the parties attended a full day mediation but they were unable to reach an agreement. They continued further settlement discussions with the assistance of Barnes over the following months. On November 12, 2024, the parties reached an agreement and began working on finalizing the terms of the Settlement, which was fully executed on July 29, 2025.

XII. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$350,000. Attorneys’ fees of up to one-third (\$116,666.66), litigation costs of up to \$20,000, and administration costs of up to \$13,000. \$10,000 will be allocated to PAGA penalties, 75% of which (\$7,500) will be paid to the LWDA and the remaining 25% (\$2,500) will be distributed to “Aggrieved Employees,” who are defined as “[a]ll Class Members employed during the PAGA Period [November 8, 2022 through November 12, 2024] and eligible to participate in a settlement of claims brought under the Private Attorneys General Act of 2004 in the Action.” Plaintiff will seek a Class representative award of \$10,000.

The net settlement amount will be allocated to Class Members who are defined as “[a]ll individuals whose wages were reported on an IRS Form 1099, and who worked for Defendant Pacific Coast Logistix as drivers in California during the Class Period [November 8, 2019 through November 12, 2024].” Class Members will receive an average payment of \$825.39. For tax purposes, 20% of each Class Member’s settlement payment will be allocated to wages and 80% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to Public Justice.

In exchange for settlement, Class Members who do not opt out and PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims, demands, rights, liabilities, and/or causes of action asserted at any time in the Action based on the facts or laws alleged in the Complaint. Specifically, this includes any claims that during the Class Period and or PAGA Period, Defendant at any time that: 1) failed to pay wages, including minimum wages; 2) failed to pay overtime and/or double-time wages; 3) failed to provide timely, full, and uninterrupted rest breaks or a penalty payment in lieu thereof; 4) failed to provide timely, full, and uninterrupted meal periods or a penalty payment in lieu thereof; 5) failed to provide accurate itemized wage statements; 6) failed timely to pay wages or pay all wages due upon termination of employment; 7) failed to provide restitution for unpaid sums; 8) failed to maintain accurate records; 9) failed to reimburse business expense; 10) failed to properly classify employees; 11) violated the Unfair Competition Law, Bus. & Prof. Code § 17200, et seq.; and 12) owed penalties pursuant to PAGA, Labor Code § 2698, et seq., including under Labor Code § 558 and § 226.8 predicated on any of the Labor Code sections identified in Plaintiff's PAGA Notice letter and attached complaint thereto.

The foregoing release is appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

XIII. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Class Counsel calculated Defendant's maximum exposure as follows: \$1,164,601.09 (mileage expenses); \$1,425,000 (unpaid meal and rest break premiums); \$158,333.33 (Section 226 damages); \$432,000 (Section 203 damages); \$3,000,000 (section 226.8 penalties); and \$316,666.67 (PAGA penalties)—totaling \$6,496,601.09.

Class Counsel then considered the risk related to the merits and class certification. Class Counsel also considered the fact that it was unlikely that Plaintiff and the Class would be able to successfully collect on a judgment in this matter if they were successful in litigating this case to judgment without putting Defendant out of business in the first place.

The gross settlement amount is approximately 5.4% of the maximum exposure, which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the Class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the Class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

XIV. PROPOSED SETTLEMENT CLASS

Plaintiff requests certification of the following class for settlement purposes:

All individuals whose wages were reported on an IRS Form 1099, and who worked for Defendant Pacific Coast Logistix as drivers in California during the Class Period.

I. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

J. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 210 Class members are readily identifiable based on Defendant’s records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

K. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claims all arise from Defendant’s purported misclassification of Class Members and its’ wage and hour practices.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medrazo v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed Class, Plaintiff was employed by Defendant and alleges that she experienced the conduct at issue. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff's interests are otherwise in conflict with those of the proposed Class.

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class Member would have. Further, she has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

L. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 210 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XV. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members

who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the Class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the Class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 45 days to exclude themselves or object.

The form of notice is generally adequate but must be modified to instruct Class Members that they may opt out of or object to the settlement simply by providing their name, without needing to provide personal information.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Rust Consulting, Inc. (“Rust”) as the Settlement Administrator. No later than 20 days after preliminary approval is entered, Defendant will deliver the Class List to Rust. Rust, in turn, will mail the notice within 10 days of receiving the Class List. Any returned notices will be promptly re-mailed to any forwarding address provided. If no forwarding address is found, Rust shall conduct an investigation for one and if one is found, Rust shall re-mail the notice. These notice procedures are appropriate and are approved.

XVI. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests a service award of \$10,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or

lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit. (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Plaintiff submitted a declaration in support of her request. She states she spent approximately 20-25 hours on this action, which includes: communicating with Class Counsel; providing facts and documents; participating in settlement discussions; participating in mediation; creating logs and notes from her time working for Defendant; and reviewing documents. (Plaintiff’s Declaration (“Decl.”), ¶¶ 3.-4) She further states she considered the personal and financial risk of participating in this action. (Plaintiff’s Decl., ¶ 5.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, Plaintiff’s request is preliminarily approved.

The administrative costs in the amount of \$12,86 is supported by the declaration of Andrew Meyer, the Director of Business Development for Rust. Thus, it is approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys’ fees of up to one-third of the gross settlement amount (currently estimated to be \$116,666.66), and litigation costs for up to \$20,000. Prior to any final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XVII. CONCLUSION

Plaintiff’s motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **December 17, 2026** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All individuals whose wages were reported on an IRS Form 1099, and who worked for Defendant Pacific Coast Logistix as drivers in California during the Class Period.

The Court will prepare the order.

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Calendar Line 6

Case Name: *Shadkam v. 3566 Stevens Creek Holdings of California, LLC, et al.*

Case No.: 24CV429231

This is a class and representative action under the Private Attorneys General Act (“PAGA”). Plaintiff Ahmad Reza Shadkam alleges defendants 3566 Stevens Creek Holdings of California, LLC and Sunnyvale Chrysler-Jeep-Dodge, LLC committed various wage and hour violations, and he seeks PAGA penalties for those violations.

Before the Court is Plaintiff’s motion for approval of PAGA settlement, which is unopposed. For reasons discussed below, the Court GRANTS the motion.

XVIII. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Defendants failed to, among other things, pay all wages owed; pay wages due upon termination; provide compliant meal periods or compensation in lieu thereof; provide compliant rest breaks or compensation in lieu thereof; maintain accurate records; timely pay wages; reimburse for necessary business expenses; and provide accurate itemized wage statements.

Based on the foregoing, Plaintiff initiated this action on January 16, 2024, with the filing of the initial complaint and on March 27, 2024, he filed the operative FAC, which asserts the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to permit rest breaks; (5) failure to pay wages for non-productive time; (6) unlawful deductions; (7) failure to provide accurate itemized wage statements; (8) failure to pay all wages due upon separation of employment; (9) violation of Business & Professions Code §§ 17200, *et seq.*; and (10) enforcement of PAGA. The FAC asserts the same claims as the initial complaint, however, it added the claim for PAGA penalties.

Plaintiff now seeks an order approving the representative action settlement (the “Settlement”).

XIX. LEGAL STANDARD FOR APPROVING PAGA SETTLEMENT

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [2022 U.S. LEXIS 2940].) 75 percent of any penalties recovered go to the Labor and Workforce Development Agency (LWDA), leaving the remaining 25 percent for the employees. (*Ibid.*) PAGA is intended “to augment the limited enforcement capability of [LWDA] by empowering employees to enforce the Labor Code as representatives of the Agency.” (*Id.* at p. 383.) A judgment in a PAGA action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government. (*Id.* at p. 381.)

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) “[C]lass certification is not required” in this context as in a class action. (*Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 (*Haralson*).)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77 (*Moniz*).) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson, supra*, 383 F. Supp. 3d at p. 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XX. PLAINTIFF’S INVESTIGATION, SETTLEMENT PROCESS, AND THE PARTIES’ AGREEMENT

On June 16, 2024, Plaintiff filed his initial complaint, and his counsel sent a letter to the Labor and Workforce Development Agency (“LWDA”). On March 27, 2024, he filed the operative FAC, which added the PAGA claim. On November 8, 2024, the Court (Hon. Adams) granted Defendants’ motion to compel arbitration. Subsequently, Plaintiff dismissed his individual and class claims.

The parties agreed to attend private mediation. In preparation for mediation, the parties engaged in informal discovery and Defendants produced policy documents, a sample of time and payroll records, and a list of aggrieved employees with dates of employment to calculate the pay periods worked. Plaintiff’s counsel engaged an expert to conduct the exposure analysis.

On November 12, 2025, the parties attended mediation with Eve Wagner, a respected class and PAGA action mediator, which resulted in a Memorandum of Understanding. The parties continued to negotiate over the following months and finalized the terms of the Settlement in November 2025.

Pursuant to the parties’ agreement, Defendants will pay a non-reversionary gross settlement of \$170,000, which is comprised of \$56,666.67 in attorneys’ fees, up to \$25,000 in litigation costs, and \$5,150 in settlement administration costs. Plaintiff will seek a service award of \$5,000.

Plaintiff's counsel fails to provide the net settlement amount, however, based on the Court's calculation, it is approximately \$78,183.33. The net settlement amount will be distributed 75% (\$58,637.50) to the LWDA and 25% (\$19,545.83) will be distributed to "Aggrieved Employees," who are defined as "a person employed by Defendants as a non-exempt employee in California during the PAGA Period [January 16, 2023 through November 12, 2025]." All funds associated with checks uncashed after 180 days will be transmitted to the State Controller's Unclaimed Property Fund.

In exchange for settlement, Aggrieved Employees will release:

[A]ll claims for PAGA penalties arising during the PAGA Period that were alleged, or reasonably could have been alleged based on the facts stated in the Operative Complaint and the PAGA Notice.

The release is appropriately tailored to the allegations at issue, and does not release any claims other than those for PAGA penalties. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537; *Moniz, supra*, 72 Cal.App.5th at p. 82 [release of "all known and unknown claims under PAGA ... that were or could have been pled based on the allegations of the Complaint" was appropriately approved].)

XXI. DISCUSSION

A. Potential Verdict Value

In the Complaint, Plaintiff alleges meal period violations, rest break violations, unpaid wages, failure to pay overtime wages, failure to pay timely wages, and failure to provide itemized wage statements.

Plaintiff's counsel estimated Defendants' maximum exposure as \$600,000 based on the initial violation rate of \$100 per pay period as follows: 6,000 x \$100 per pay period. However, Defendants raised various defenses during the settlement negotiations which could have defeated Plaintiff's claims. The gross settlement amount represents 28.3% of the maximum exposure which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb. 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Given this, as well as the risks attendant to proceeding to trial, Defendants' defenses, and the likelihood that PAGA penalties would be significantly reduced in line with numerous appellate decisions, the Court finds that the proposed settlement is fair to those affected and is genuine, meaningful, and reasonable in light of the statute's purposes.

B. Attorneys' Fees

While the PAGA statute does not expressly require judicial review of claimed attorney fees, the Court believes it cannot adequately fulfill its statutory duty to review the penalties associated with PAGA settlements without also considering attorney fees. The Court thus finds that it must scrutinize the attorney fee arrangement associated with

a PAGA settlement. This is consistent with the observation of many courts that PAGA claims are analogous to “*qui tam*” suits like those under the federal False Claims Act: when reviewing settlements of *qui tam* claims, courts should and do consider any associated attorney fee arrangement. (See *U.S. v. Texas Instruments Corp.* (9th Cir. 1994) 25 F.3d 725, 728 [attorney fee award must be considered by the trial court as part of its review of the “entire settlement arrangement”].)

As articulated above, Plaintiff seeks a fee award of \$56,666.67 in attorneys’ fees. Plaintiff’s counsel Julia Toscano (“Toscano”) submits a lodestar figure of \$71,037.50 based on 88.4 hours of work at billing rates ranging from \$625 to \$950, resulting in a negative multiplier of 0.79. This is below of the range of multipliers that courts typically approve. (See *Laffitte v. Robert Half Intern. Inc.* (2016) 1 Cal.5th 480, 488, 503–504 (*Laffitte*) [trial court did not abuse its discretion in approving fee award of 1/3 of the common fund, cross-checked against a lodestar resulting in a multiplier of 2.03 to 2.13]; *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court’s own survey of large settlements finding “a range of 0.6–19.6, with most (20 of 24, or 83%) from 1.0–4.0 and a bare majority (13 of 24, or 54%) in the 1.5–3.0 range”].)

Here, given the amount of work performed by Plaintiff’s counsel, and because the requested multiplier sought by them is well below the range of multipliers regularly approved by California courts in similar actions and it is supported by Toscano’s declaration, the Court finds counsel’s requested fee award is reasonable and therefore it is approved.

C. Other Costs and Expenses

Plaintiff’s counsel requests litigation costs in the amount of \$21,849.30. This is supported by Toscano’s declaration and is below the \$25,000 provided for in the settlement. Thus, this amount appears reasonable and is approved.

Administration costs of \$5,150 is supported by the declaration of Bryn Bridley, Vice President of Business Development at Atticus Administration (“Atticus”). Thus, the amount appears reasonable, and it is approved.

Plaintiff moves for a service award of \$5,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S. Dist. LEXIS 29837, at *29.)

Plaintiff states he spent approximately 50 hours on this action, which includes gathering and reviewing documents, providing information related to his employment, assisting counsel in preparing for mediation, communicating with counsel, and reviewing the Settlement. (Plaintiff's Declaration ("Decl."), ¶¶ 5-8.) He further states that he considered the personal and financial risks of participating in this litigation. (Plaintiff's Decl., ¶¶ 10-11.)

Based on the foregoing, the Court finds Plaintiff is entitled to a service award and the amount requested is reasonable, thus, it is approved.

XXII. ADMINISTRATION PROCESS

Pursuant to the terms of the Settlement, the parties have selected Atticus as the Settlement administrator. Within 14 days of Court approval of its terms, Defendants will provide Atticus with the Aggrieved Employee data. Defendants shall fund the Settlement within 10 days of the Effective Date. Within 14 days of the funding, Atticus will promptly issue checks for individual PAGA payments, LWDA PAGA payments, administrative expenses, individual settlement for Plaintiff, and Plaintiff's counsels fees and costs. Within 7 days of receiving a returned check, Atticus shall re-mail checks to forwarding addresses or conduct an address search to obtain an updated address. Any checks returned as undeliverable or that remain uncashed after 180 days will be transmitted to the State Controller's Unclaimed Property Fund. These administrative procedures are appropriate and are approved.

XXIII. ORDER AND JUDGMENT

Plaintiff's motion for approval of the parties' PAGA settlement is GRANTED. The following individuals are covered by the Settlement: a person employed by Defendants as a non-exempt employee in California during the PAGA Period.

Judgment shall be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the Aggrieved Employees shall take from the PAGA claim in their operative complaint only the relief set forth in the parties' settlement agreement and this order and judgment. The Court retains jurisdiction over the parties to enforce the terms of the PAGA settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **February 4, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted to the *cy pres* recipient; the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel may appear at the compliance hearing remotely.

The Court will prepare the order.

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Calendar Line 7

Case Name: *Jose Ceja Meraz v. Schwager Davis, Inc.*

Case No.: 25-CV-471880

This is a putative class action. Plaintiff Jose Ceja Meraz (“Plaintiff”) brings this action individually and on behalf of all others similarly situated against defendants Schwager Davis, Inc. and Does 1-50 inclusive (collectively, “Defendants”) for Labor Code violations and unfair business practices.

Before the Court is Defendant Schwager Davis Inc.’s motion to compel arbitration, which is opposed by Plaintiff. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

Plaintiff filed his complaint on July 31, 2025 (“Complaint”). According to the allegations of the Complaint, Plaintiff worked for Defendants as an hourly-paid, non-exempt employee from approximately February 2022 to May 2025. (Complaint, p. 2:26-28.) Plaintiff repeatedly and frequently worked at least five days in a workweek and at least eight hours in a single workday, but Plaintiff also worked more than eight hours in a workday and more than 40 hours per week. (*Id.* at p. 4:12-15.) Plaintiff would often be required to engage in work after his regularly scheduled shifts, including but not limited to taking calls or texts from management. (*Id.* at p. 4:16-19.) Plaintiff was not reimbursed for his cell phone use after work and was not paid for this time. (*Ibid.*)

Defendants failed to pay Plaintiff for all hours worked (including minimum, straight time, and overtime wages), failed to provide Plaintiff with legally compliant meal periods, failed to authorize and permit Plaintiff to take rest periods, failed to timely pay all final wages to Plaintiff when Defendants terminated Plaintiff’s employment, failed to furnish accurate wage statements to Plaintiff, and failed to indemnify Plaintiff for expenditures. (Complaint, p. 4:20-25.) Plaintiff’s Complaint alleges causes of actions for failure to pay minimum and straight time wages, failure to pay overtime wages, failure to provide meal periods, failure to authorize and permit rest periods, failure to timely pay final wages at termination, failure to indemnify employees for expenditures, and unfair business practices. (Complaint, p. 1:16-25.)

Defendant Schwager Davis (“SDI”)’s Motion requests an order compelling arbitration of Plaintiff’s individual claims, dismissing Plaintiff’s class claims, and staying this action pending completion of arbitration on the basis that Plaintiff agreed to submit employment claims to arbitration on hire.

On January 5, 2026, Defendant Schwager Davis filed a motion to compel arbitration (“Motion”). Plaintiff filed an opposition to Defendant’s motion to compel on June 5, 2026. SDI filed a reply.

II. LEGAL STANDARD FOR MOTION TO COMPEL ARBITRATION

In ruling on a motion to compel arbitration, the court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.)

In determining the rights of parties to enforce an arbitration agreement within the scope of the Federal Arbitration Act (“FAA”), “courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, internal citations and quotations omitted.)

The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence]; see *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166 [normal formalities regarding document authentication are not required].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

III. MOTION TO COMPEL ARBITRATION

SDI moves for an order: (1) compelling Plaintiff to arbitrate his individual claims against SDI; (2) dismiss his class claims; and (3) stay this action pending completion of arbitration. SDI contends that Plaintiff agreed to arbitrate all claims related to his employment on an individual basis and waived his ability to pursue class relief. In opposition, Plaintiff argues that the arbitration agreement is unenforceable for two reasons: (1) state law prohibits arbitration of Labor Code violations and SDI has not met its burden to show that the FAA preempts state law in this matter, and (2) the arbitration agreement is procedurally and substantively unconscionable.

a. Existence of Agreement to Arbitrate

To establish the existence of an arbitration agreement, SDI submits the declaration of Michael Schwager (“Schwager”), the President of Schwager Davis Inc. (Declaration of Michael Schwager (“Schwager Decl.”), p. 1:24-25.) Schwager states that at the time Plaintiff was hired, SDI’s normal practice was to send new hires an Employee Handbook and an unsigned Acknowledgement and Receipt of the Employee Handbook via email. (Schwager Decl., p. 2:8-11.) Schwager further states that he reviewed emails between SDI’s former Human Resources Administrator Alicia Cardenas and Plaintiff in which on January 24, 2023, Plaintiff signed an Employee Handbook Acknowledgment binding him to the Arbitration Agreement in the Employee Handbook. (*Id.* at p. 2:23-27.) The signed Employee Handbook Acknowledgment document and the Arbitration Agreement in the Employee Handbook are attached to the declaration. (Schwager Decl., Exs. B, C.)

Exhibit B bears Plaintiff’s electronic signature dated January 24, 2023. (Schwager Decl., Ex. B.) SDI contends that by executing the Agreement, Plaintiff agreed to arbitrate all claims related to his employment. (Motion, p. 6:17-19.) The Employee Handbook

Acknowledgment includes the following statement: “I understand and agree to comply with the Dispute Resolution process and abide by the Arbitration Agreement described in Section 9.1.1 of the Handbook.” (Schwager Decl., Ex. B.) The relevant provisions of the Arbitration Agreement state:

c) Alternative Dispute Resolution Process — Arbitration Agreement

- SDI has developed an alternative dispute resolution process to replace resolving legal disputes in the court system. The arbitration procedure described in this Agreement provides an efficient, fair and private process before a neutral arbitrator for resolving significant employment disputes that cannot be resolved informally between you Employee and Employer.
- The parties to this Agreement agree to arbitrate any and all disputes, claims, or controversies (“Arbitrable Dispute”) they may have against each other, including their current and former agents, owners, officers, directors, or employees, which arise from the employment relationship between Employee and Employer or the termination thereof. Claims covered by this Agreement include, but are not limited to: claims of employment discrimination and harassment under Title VII of the Civil Rights Act, as amended; the California Fair Employment & Housing Act; the Age Discrimination in Employment Act, as amended; the Americans with Disabilities Act, 42 U.S.C. section 1981; the Employment Retirement Income Security Act; breach of employment contract or the implied covenant of good faith and fair dealing; wrongful discharge; or tortious conduct (whether intentional or negligent) including defamation, misrepresentation, fraud, infliction of emotional distress; and any claims under the California Labor Code, including but not limited to any claims brought by the Employee related to wages and/or penalties, but excluding claims under PAGA and for workers' compensation benefits to remedy work-related injury or illness. The parties understand and agree that they are waiving their right to bring such claims to court, including the right to a jury trial.
- The parties expressly intend and agree that they are waiving the right to bring, maintain or participate in any class or collective proceeding, whether in arbitration or otherwise and agree that they will not bring any class or collective claims against each other.
- Nothing in this Agreement precludes an employee from filing a charge or from participating in an administrative investigation of a charge before any appropriate government agency, including the National Labor Relations Board. However, Employee understands and agrees that Employee cannot, except as otherwise required by law, obtain any monetary relief or recovery from such a proceeding.
- Any arbitration under this Agreement shall be conducted by a neutral arbitrator in accordance with the National Rules for the Resolution of Employment Disputes issued by the American Arbitration Association (“AAA”) which may be viewed at www.adr.org and which are incorporated herein by reference. The Employer will pay the arbitrator’s fee for the proceeding, as well as any room or other charges assessed by

the AAA. Either party may file pre-hearing motions directed at the legal sufficiency of a claim or defense equivalent to a demurrer or summary judgment prior to the arbitration hearing. Either party may conduct adequate discovery in the arbitration proceedings.

- The arbitrator will issue a detailed written decision and award, resolving the dispute. The arbitrator's written opinion and award shall decide all issues submitted and set forth the legal principle(s) supporting each part of the opinion.
- The decision or award of the arbitrator shall be final and binding upon the parties. The arbitrator shall have the power to award any type of legal or equitable relief that would be available in a court of competent jurisdiction including, but not limited to attorneys' fees and punitive damages when such damages and fees are available under the applicable statute and/or judicial authority. Any arbitral award may be entered as a judgment or order in any court of competent jurisdiction. The parties agree that any relief or recovery to which they are entitled arising out of the employment relationship or cessation thereof shall be limited to that awarded by the arbitrator.
- The parties agree to file any demand for arbitration within the time limit established by the applicable statute of limitations for the asserted claims or within one year of the conduct that forms the basis of the claim if no statutory limitation is applicable. Failure to demand arbitration within the prescribed time period shall result in waiver of said claims.
- Neither the terms nor the conditions described in this Agreement are intended to create a contract of employment for a specific duration of time or to limit the circumstances under which the parties' employment relationship may be terminated. Since employment with the Employer is voluntarily entered into, Employee is free to resign at any time. Similarly, the Employer may terminate the employment relationship with or without cause or notice at any time for any lawful reason.
- This Agreement shall be governed by the Federal Arbitration Act 9 U.S.C. Section 1 et. seq. and shall be interpreted in accordance with applicable law. Either party may seek provisional relief remedies in court as provided in California Code of Civil Procedure Section 1281.8. The terms of this Agreement shall not be orally modified. This Agreement can be modified only by a written document signed by the President of the company and the Employee.
- A court or other entity construing this Agreement should administer, modify, or interpret it to the extent and such manner as to render it enforceable. If, for any reason, this Agreement is declared unenforceable and cannot be administered, interpreted, or modified to be enforceable, the parties agree to waive any right they may have to a jury trial with respect to any dispute or claim relating to employment, termination from employment, or any terms and conditions of employment with the Employer.
- By signing the Employee Handbook Acknowledgement/Receipt form, employee agrees to comply with the policies set forth in the Handbook, including this Arbitration Agreement, in consideration of employment

by Employer. Employee has been advised of their right to consult with counsel regarding this Agreement. EMPLOYEE ALSO UNDERSTANDS THAT BY ENTERING INTO THIS AGREEMENT, THEY ARE WAIVING ANY RIGHT TO A TRIAL BY JURY.

(Schwager Decl., Ex. C.)

By producing an Employee Handbook with an arbitration agreement and an Acknowledgement of the Handbook purportedly bearing Plaintiff's signature, SDI has established the existence of an agreement to arbitrate between SDI and Plaintiff which covers the Labor Code claims Plaintiff brought in his Complaint and preclude Plaintiff's pursuit of class claims. In opposition, Plaintiff does not dispute the existence of the Agreement nor that Plaintiff signed the agreement.

Accordingly, SDI has met its initial burden by submitting prima facie evidence of a written agreement to arbitrate the claims asserted in the action. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 [a defendant may meet their initial burden on a motion to compel arbitration "by attaching a copy of the arbitration agreement purportedly bearing [the opposing party's] electronic signature"].)

b. Validity and Scope of the Agreement to Arbitrate

Plaintiff argues that the arbitration agreement is unenforceable because SDI has not shown that the FAA preempts state law prohibiting forced arbitration of Labor Code claims and the Arbitration Agreement is unconscionable. (Opposition, p. 1:3-24.)

i. FAA preemption

Plaintiff argues that the FAA does not apply in this matter because the FAA can only preempt state law where the employment relationship evidences a transaction involving interstate commerce and thus Labor Code sections 229 and 432.6 apply to bar enforcement of the agreement. Plaintiff further argues that any language invoking the FAA in any arbitration agreement is invalid because "Plaintiff is unaware of any authority which can be persuasively read to support the proposition that private parties may contract to incur substantive pre-emptive [*sic*] jurisdiction under the FAA." (Opposition, p. 6:4-6.)

Plaintiff cites the language of the FAA and two cases, *Woolls v. Superior Court* (2005) 127 Cal.App.4th 197, 211 (*Woolls*) and *Guiliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1286 (*Guiliano*), to support the proposition that "a petitioner seeking an order to compel arbitration must show that the subject matter of the agreement involves interstate commerce." (Opposition, 9:1-3.) However, the arbitration agreements at issue in *Woolls* and *Guiliano* did not contain clauses expressly invoking the FAA as the governing law. In *Woolls*, the court held that an arbitration clause was unenforceable because it failed to comply with Business and Professions Code section 7191, further finding that the FAA did not preempt application of state law because Respondent failed to meet its burden to provide evidence of interstate commerce. (*Woolls, supra*, 127 Cal.App.4th at p. 214.) In *Guiliano*, like here, an employer sought to compel arbitration on the basis that the FAA preempted state law prohibiting arbitration of statutory wage claims, but unlike here, the arbitration clauses at issue did not specifically invoke the FAA as governing law, thus necessitating the court's inquiry into FAA's applicability. (*Guiliano, supra*, 149 Cal.App.4th at p. 1281 fn. 1 & fn. 2 [excerpting the arbitration clauses at issue wherein no governing law is specified].) The authorities cited by Plaintiff to support the proposition that only arbitration agreements

involving interstate commerce can be preempted by the FAA are inapposite because neither involved an arbitration agreement that expressly invoked the FAA as governing law.

SDI correctly states in reply that there are cases establishing that the “the presence of interstate commerce is not the only manner under which the FAA may apply...the parties may also voluntarily elect to have the FAA govern enforcement of the Agreement, as they did here.” (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355 (*Victrola*); see also *Volt Information Sciences v. Board of Trustees* (1989) 489 U.S. 468, 479 (*Volt*) [“Arbitration under the Act is a matter of consent, not coercion, and parties are generally free to structure their arbitration agreements as they see fit.”].) However, the arbitration agreement at issue in *Victrola* invoked both state law and the FAA, thus necessitating the courts to determine in what manner state law applied and in what manner FAA applied. (*Victrola, supra*, 46 Cal.App.5th at p. 349 [agreement stated that parties agreed to arbitration “as provided by California law” but also contained a specific provision stating that “enforcement” of the agreement would be under the FAA.].) In *Volt*, the court found that the FAA did not preempt state law where parties agreed to be bound by state law. (*Volt, supra*, 489 U.S. at p. 479.)

Victrola stands for the general idea that parties who invoke the FAA in an arbitration agreement agree to be bound by the FAA, and *Volt* for the idea that parties can freely add valid choice of law provisions to arbitration agreements without worry of preemption, but neither is instructive on the issue of the applicability of the FAA in an arbitration agreement that only invokes the FAA. Nevertheless, it logically follows from *Victrola* and *Volt* that if parties can agree to be bound by the FAA with respect to its procedural provisions, they can also agree to be bound by the FAA with respect to its substantive provisions. Moreover, courts have found that the FAA can apply to an arbitration agreement in the absence of evidence of interstate commerce if the FAA is invoked as governing law in the agreement. (*Barrera v. Apple American Group LLC* (2023) 95 Cal.App.5th 63, 76 (*Barrera*); *Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963.)⁵ Thus, this court holds that the FAA applies to the instant action.

ii. Unconscionability

Plaintiff also argues that the arbitration agreement is unconscionable and thus unenforceable. “A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. [Citation.] Under this standard, the unconscionability doctrine ‘has both a procedural and a substantive element’...but ‘they need not be present in the same degree’ and are evaluated on ‘a sliding scale.’ [Citation.]” (*Barrera, supra*, 95 Cal.App.5th at p. 87, internal citations omitted.) “The burden of proving unconscionability rests upon the party asserting it. [Citations.]” (*Ibid.*)

Plaintiff argues that the “inherently adhesive character of the arbitration terms, as a preprinted form agreement presented to Plaintiff in already finalized form by an employer with significantly stronger bargaining power, is sufficient to establish a baseline of procedural unconscionability.” (Opposition, p. 14:18-20.) While the arbitration agreement may be considered a contract of adhesion, that alone is insufficient to establish procedural unconscionability. (See *Fittante v. Palm Springs Motors, Inc.* (2003) 105 Cal.App.4th 708, 721

⁵ Unlike this matter, the parties did not dispute the applicability of the FAA in either case. A case is currently pending in the Supreme Court in which, like here, an employee opposing a motion to compel arbitration argued that the FAA could only apply to matters involving interstate commerce and thus parties could not validly invoke the FAA as governing law in an arbitration agreement. (*Tuufuli v. West Coast Dental Administrative Services, LLC* (2026) 117 Cal.App.5th 1048, review granted March 25, 2026, S295323.)

[an arbitration agreement that was required for employment was a contract of adhesion but not procedurally unconscionable]; *Barrera, supra*, 95 Cal.App.5th at p. 89 [where no evidence that “forced to sign” the Agreements, or that they lacked “a meaningful opportunity to negotiate terms,” or that the Agreements were “presented on a take-it or leave-it basis,” court could not find procedural unconscionability].)

Plaintiff further argues that the agreement was substantively unconscionable because it lacked mutuality, as the handbook stated that SDI “has the right to amend, interpret, modify or withdraw any of the terms of provisions of the Handbook at any time in its sole discretion, with or without notice,” with “no qualifying language which excludes the arbitration provisions from coverage under this clause.” (Opposition, p. 10:8-12.) The language Plaintiff points to to show lack of mutuality can be found in the Acknowledgment:

I understand that the policies contained in the Handbook are guidelines and are not intended to create any contractual rights or obligations, express or implied, and shall not be construed to create any type of right to a “specific procedure” prior to termination or other disciplinary action. I also understand that the Company has the right to amend, interpret, modify, or withdraw any of the provisions of the Handbook at any time in its sole discretion, with or without notice.

I understand and agree that the terms of this Acknowledgment may not be modified or superseded except by a written agreement signed by me and the President of the Company, that no other employee or representative of the Company has the authority to enter into any such agreement, and that any agreement to employ me for any specified period of time or that is otherwise inconsistent with the terms of this Acknowledgment will be unenforceable unless in writing and signed by me and the President of the Company.

(Schwager Decl., Exh. B.)

A lack of mutuality in terms can make a contract substantively unconscionable. A court will determine that a contract was substantively unconscionable not for any “simple old-fashioned bad bargain,” but will find substantive unconscionability when terms are “unreasonably favorable to the more powerful party.” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 47, 496, internal citations and quotations omitted.) While a contract that can be unilaterally modified at any time by only one party would suggest terms that are unreasonably favorable, the full context of the language creates ambiguity as to who can modify the contract and by what means. The language Plaintiff argues establishes lack of mutuality is immediately followed by a provision stating that “the terms of this Acknowledgment may not be modified or superseded except by a written agreement signed by me and the President of the Company.” (Schwager Decl., Ex. B.) Also, the arbitration agreement section of the handbook includes the following language: “[t]his Agreement can be modified only by a written document signed by the President of the company and the Employee.” (Schwager Decl., Ex. C.) The arbitration agreement is in the employee handbook and can thus be considered a “provision of the Handbook” such that it would be modifiable in the employer’s sole discretion.

Civil Code section 1599 states that where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, the contract is void as to the unlawful provision and valid as to the rest. (Civ. Code, § 1599.) If the “central purpose of the agreement is tainted with illegality, then the agreement as a whole cannot be enforced. But if the illegality is collateral to the main purpose of the agreement, and the illegal provision can be extirpated

by means of severance or restriction, then severance and restriction are appropriate.” (*County of Ventura v. City of Moorpark* (2018) 24 Cal.App.5th 377, 393, internal citations and quotes omitted.) The court severs the provision allowing the employer to make unilateral modifications to the contract, thus leaving the provisions allowing for mutual, written modification of the contract and making the contract enforceable. (See *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 517 [“Accordingly, courts may liberally sever any unconscionable portion of a contract and enforce the rest when: the illegality is collateral to the contract’s main purpose; it is possible to cure the illegality by means of severance; *and* enforcing the balance of the contract would be in the interests of justice.”].)

Plaintiff also argues that the contract is unenforceable under the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 and because of the contract’s pre-dispute jury waiver. The nature of Plaintiff’s Complaint precludes the first argument, as Plaintiff does not bring any sexual assault or harassment claims that would make that law applicable. As to the latter argument, Plaintiff does not cite any authority stating that pre-dispute jury waivers in arbitration agreements are unlawful, only authority stating that parties cannot waive the right to a jury trial by contract prior to filing suit. The Plaintiff in that case did not have an arbitration agreement, and that same case states the following: “arbitration agreements are distinguishable from waivers of the right to jury trial in that they represent an agreement to avoid the judicial forum altogether.” (*Grafton Partners v. Superior Court* (2005) 36 Cal.4th 944, 955.)

Plaintiff is unable to meet his burden to prove that the arbitration agreement was unconscionable.

Based on the foregoing, SDI’s motion to compel arbitration is GRANTED and the request for stay is GRANTED.

IV. CONCLUSION

Defendant SDI’s motion to compel arbitration is GRANTED and the request for stay is GRANTED. The Court will prepare the final order.

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